

STEPS TO STABILISE THE RUPEE



On March 29, the RBI capped net open rupee positions of authorised dealers in the onshore deliverable market at \$100 million at the end of each business day



On April 1, it barred banks from offering rupee non-deliverable forward contracts to corporate clients



Banks are estimated to have unwound \$40 billion in arbitrage positions till RBI's April 10 deadline



Nomura estimates RBI net-sold \$18.3 billion of spot forex reserves between March 1 and March 27

the 92-95 per dollar range, possibly even going to 96, if tensions escalate.

Vijayakumar of Geojit Investments feels the rupee could depreciate to 93.5-93.6 in the near term, but he doesn't see it going below 95 for now, considering the RBI's recent measures.

Unlike in the past when the central bank was seen intervening aggressively in the forex market, under Governor Malhotra, the interventions appear to be more selective. This indicates that the Governor is, perhaps, willing to let the rupee find its value, say forex market watchers.

Speaking after the monetary policy committee (MPC) meeting on April 8, Malhotra said the interventions were only aimed at curbing excessive and disruptive volatility and not targeting any specific level.

"When there is excessive building up of positions, perhaps not helping in price discovery, such measures are taken. They are not signalling any structural change. These are not measures that are going to remain there forever," said Malhotra.

This implies that the RBI's recent measures are temporary, rather than an attempt to permanently alter the supply-demand structure in the forex market, say the Nomura economists. They believe the RBI could accumulate forex reserves on any excessive downside move. Varma and Nandi also don't expect any sustained pick-up in portfolio flows, as structural concerns over AI-related disruption to India's software industry remain.

"Recent RBI regulations on authorised dealer (AD) limitations on offering onshore forward hedges has increased forex hedg-

ing costs for portfolio managers, which can deter portfolio inflows," say the economists. They see a further scope for the rupee to depreciate.

If the rupee stays around current levels, imports will remain expensive, though exports may benefit. Other than end-use products, raw materials across industries, from electronics to automobiles and chemicals, are imported. As input costs rise, the companies could eventually raise prices. Over time, this would fuel inflation and dent consumer demand, and that, in turn, will affect economic growth.

Exports like software services do tend to benefit from a depreciating rupee, as companies typically earn in dollars. However, amid geopolitical and AI-related uncertainties, software exporters are already combating demand pressures.

WHAT NEXT

The RBI has stepped in whenever the rupee has faced sustained pressure to stabilise the currency. In 2013, for instance, when the US Federal Reserve announced that it would taper off its bond repurchase programme introduced in the aftermath of the global financial crisis of 2008, popularly called the taper tantrum, the rupee plunged from around 54 to the dollar to 69 in just four months.

At that time, special FCNR-B (foreign currency non-resident bank) accounts were floated against the dollar. The bonds mopped up around \$30 billion. Before that, in 2000-01, \$5.5 billion was raised via India Millennium Deposits of five-year tenure to bring in NRI deposits to stabilise the rupee.

Even earlier, in 1998, during